

■ By Nivedita Mukherjee

Bangalore-based Avasarla Technologies Ltd has been supplying products crucial to nuclear power plants in the country like fuel transfer equipment and cask—landria—a vessel that holds uranium in the reactor core. Now, the growing buzz over the Indo-US nuclear deal has given a new spin to the Rs 160-crore company's business. Avasarla is gearing up to increase its production capacity multi-fold, in anticipation of the big business orders which will flow in once the deal goes through. On the cards is a possible joint venture with a US-based technology group which will boost the indigenisation of technology for small players like itself.

Avasarla is not the only one to pin hopes on the poster boy of reforms Prime Minister Manmohan Singh and his promise of a new civil nuclear cooperation agreement. Tata Power, Reliance Power, Jindal Steel, Bharat Heavy Electricals (BHEL), Larsen and Toubro (L&T) and a clutch of smaller players are betting heavily on the deal to pave the way for import of fuel, transfer of technology, and most importantly, private sector partnership in setting up of nuclear power plants in India.

Investments of Rs 1,00,000 crore have poured in amid joint ventures and strategic alliances with Areva, Alstom, Westinghouse, Thorium Power and General Electric (GE) for building nuclear power plants, generation of power and upgradation of technology. Amit Mitra, noted economist and FICCI general secretary, is not exaggerating when he points out the business community's anxiety to see the Indo-US nuclear deal go through. "It is a good sign and they have been waiting for long."

Nuclear power generation has, since 1962, been completely under government control with a role only for Nuclear Power Corporation of India Ltd (NPCIL) or Uranium Corporation of India Ltd (UCIL). The Atomic Energy Act, 1962 bars private players from the sector even if companies like L&T are capable of setting up a nuclear plant in India. Needless to say, it is these antiquated laws which have kept India's nuclear power generation capacities confined to 3,900 MW. Provided the gates of international supplies of fuel, equipment,

IT'S BIG DEAL FOR BUSINESS

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VOICES



"We have indicated our interest in nuclear energy, but it depends on how government opens up the sector."

RATAM TATA
Chairman, Tata Group



"Once the necessary legislative changes are enacted, we will develop 2,000 MW of nuclear power."

ANIL AMBANI
Chairman, ADAG